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CONTRACT PRACTICE

Delivered by
ASMY SHERIFF
MRICS, MAIQS, CQS, LLM, CCMP, MBA, MCIOB, BSc(Eng)

Check list

Principles of contract law	Sectional completion/Partial possession	Valuing change – variations/compensation events
Legislation	Determination /Termination	Dispute avoidance and resolution
Roles & responsibilities of parties	Defects liability/rectification period	Final Accounts
Third party rights – Legislation/Collateral Warranties	Extensions of time	Liquidated/delay damages
Letters of intent – Comfort letters/Consent to spend /Recognition of contract	Change procedures	Claims/Loss and Expense
Performance security – Bonds/Parent Company Guarantees	Materials on/off site	Named/Nominated subcontractors
Insurances	Advance payments	Completion
Standard forms of main and subcontract	Retention – retention bonds	Defects liability/rectification period
Assignment/Novation	Interim valuations and payment provisions	
Advance payments	Fluctuations	

Contract Practice

Contract Practice refers to the processes and activities involved in the creation, negotiation, and formulation of a contract before its execution.

Contract Administration

Contract Administration involves the implementation, execution, and management of the contract terms and conditions after the contract has been signed and becomes effective.

Agreement

An agreement is a mutual understanding between two or more parties about their rights and responsibilities. It reflects a meeting of the minds or consensus on specific terms.

An agreement itself is not necessarily legally binding unless it satisfies the legal requirements of a contract.

Ex - If two friends agree to share a ride to work or coffee

Contract

A binding agreement between two or more persons which creates mutual rights and duties, and which are enforceable by law.

- There must be an intention to create a legal relationship,
- Main object of a contract is legal consequences,
- Contract can be written or oral.

Key Difference Between Tender and Contract

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All the tender documents will be added under contract and a contract will be signed.

Essential Elements of a Contract to be Valid Contract

- **Offer** - Details on what will be provided - by one party.
- **Acceptance** - Unqualified acceptance by the other party [oral, written or conduct].
- **Consideration** - As an outcome for the agreement – Ex: Money or the project to the client
- **Capacity** - Age and mentality
- **Intention** - To create a legal relationship – Ex: carry out the promises.
- **Genuine Consent / Free Consent** - Ex: there must be no force involved.
- **Must be Possible** - By the parties.
- **Remedies for Breach** - When a contract is breached, the non-breaching party is entitled for remedy
- **Must be Legal** - Ex: an agreement to defraud
- **Privity of Contract** - Only the parties involved in the contract have the rights and obligations.
- **Performance and Discharge** - Contracts must be performed as agreed, and they can be discharged by performance, agreement, frustration, or breach

Contract Between the Parties should Include

- Obligations
- Benefits
- Rights
- Liabilities
- Other managements and procedures

Explain as Below Addressed Following Important Areas

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- **Responsibilities of each party –** FIDIC Clause 2,3 and 4
- **Contract management procedures –** FIDIC many clauses
- **Scope of work, standards, spec, quality –** normally Employer's requirements
- **Time frame, EOT provisions –** Clause 8.4 / 20
- **Payment mechanism (interim & final) –** FIDIC 14
- **Dispute resolution mechanism FIDIC –** FIDIC clause 20
- **Mechanism for dealing with changes –** FIDIC Clause 13
- **Mechanism for handling default and termination –** FIDIC

Terms of Contracts

- **Express Term** - those which have been explicitly communicated between the parties orally or in writing [payment terms, scope of works, warranties, etc.]. **Incorporated terms too** [These are terms included in the contract by reference to another document, rather than being explicitly written out in the main contract].

- **Implied Terms** - Terms may be implied by custom, the courts, or by statue. [fitness for purpose, reasonable skill and care, etc.]
  1. Implied by fact – customary practice or course of dealing [previous dealing]
  2. Implied by Law - statutory provision or common law
  3. Implied by Custom or Trade Usage

- **Boilerplate terms** - These are standard provisions commonly included in contracts to address various legal and administrative aspects [Governing law clauses, dispute resolution mechanisms, force majeure clauses, assignment and delegation clauses]

Legislation

Types of Law Systems

- Common Law - Based on judicial decisions and precedent. [Developed in England and spread to many former British colonies, including the United States, Canada, Australia, and India]
- Civil Law - Based on codified statutes and principles. [Based on Roman law, particularly the Corpus Juris Civilis of Justinian.]
- Religious Law - Based on religious texts and teachings.
  - Islamic Law (Sharia) - Derived from the Quran, Hadith
  - Jewish Law (Halakha) - Based on the Torah
  - Canon Law - Governs the Roman Catholic Church
- Customary Law - Based on traditional practices and customs. Laws are often passed down orally and not codified.
- Mixed Legal Systems - Incorporating elements from multiple legal traditions.
- Socialist Law - Based on Marxist-Leninist ideology with an emphasis on state control.

Court Structure

Saudi Arabia

- **Supreme Court-** Highest authority, ensures consistency in Sharia application.
- **Courts of Appeal-** Review lower court decisions.
- **General and Summary Courts-** Handle civil, criminal, and minor disputes.
- **Specialized Courts-** Include Labor, Commercial, and Personal Status Courts.

United Arab Emirates

- **Federal Level**
  - **Federal Supreme Court** Highest court, handles constitutional issues.
  - **Federal Courts of Appeal and First Instance:** Handle appeals and initial cases.
- **Local Courts (e.g., Dubai, Abu Dhabi)**
  - **Courts of Cassation-** Highest in the emirate.
  - **Courts of Appeal and First Instance -** Handle appeals and initial trials.

Qatar

- **Court of Cassation-** Highest appellate court.
- **Courts of Appeal-** Handles appeals.
- **First instance & Sharia Court-** Handle initial trials & family law matters

Common Features Across GCC Court Systems

- **Dual Legal Systems -** civil and Sharia courts operate alongside each other.
- **Hierarchical Structure-** multiple levels, from first instance courts to supreme courts.
- **Specialized Courts -** Existence of specialized courts for commercial, labor, and family law matters.
- **Influence of Sharia -**Significant influence of Islamic law, especially in personal and family law.

The Party's Major Role & Responsibilities

Client / Employer (ER)

- Appointment of consultant
- Setting out the budget
- Provide or develop a brief to the project
- Take responsibility to Develop design (if required)
- Pay the parties

Contractor (CO)

- Execute the scope of work
- Provide resources
- HSE provision
- Identify suitable method statement
- Liable for errors or any other of his responsibility

Project Management Consultant / PMC

- Programming
- Master plan development
- Advise to the employer on project matters
- Assist in appointment of designers, QS, etc

Supervision Consultant (SC) / Resident Engineer (RE)

- Make sure the design implementation
- HSE monitoring
- Inspection of work

Collateral Warranties and Third-Party Act

Collateral Warranties

- The main purpose of this is to link the Client with the subcontractor or Major specialist contractor who will be appointed by Main Contractor.
- A collateral warranty is a separate contract between parties.

Collateral Warranties Examples

- Collateral warranty for a Purchaser/Tenant
- Collateral warranty for an Employer
- Collateral warranty for a funder

Third-Party Rights

- An alternative to Collateral Warranties
- They allow a third party to be written into a contract
- Introduced as part of the Contracts (third party rights) act 1999.

The aim of Third-Party Rights

- To give the Third party the benefits of the contract only, not the burdens. I.e. Writing in the tenant as a
- the third party will ensure that they receive the contract benefits

Third-Party Act [Right of Third-party Act 1999]

Protect their legal rights, if third party suffers loss or damage caused by the party involved did the design or construction

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Letters of Intent – Comfort Letters/Consent to Spend /Recognition of Contract

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- **A letter of intent - LOI - [comfort letter] -** expresses the intention of one party to enter a contract. **No legal binding**.
- **A consent to spend letter** - allows a supplier or contractor to pre-order materials or create a site establishment. **legally binding contracts**.
- **Recognition of a Binding Contract** - Letters recognizing the existence of a binding contract may be used to execute the contract before formalities like copying, binding, and signing are completed. **Effect as contract**.

Advantages of LOI

- Provide breathing time
- Provide time to identify and arrange long lead and delaying items
- Obtain authorities approval
- Employer's intention to bring the contractor to site as soon as possible.

Legality of LOI

If the contractor executed any works based on the LOI and incurred expenses, those expenses to be paid to the Contractor based on the schedules if any attached to LOI. If not, the Contractor shall be compensated based on the **Quantum merit basis**.

Unjust Enrichment

Unjust enrichment is a legal concept referring to a situation where one party is unfairly benefited at the expense of another, and it is considered unjust for them to retain that benefit without compensating the other party.

The Difference Between a Letter of Acceptance [LOA] and a Letter of Award

Letter of Award [LOA]

LOA is issued by the client or employer to formally notify a contractor or supplier that they have been selected for a project.

It includes:

- Accepted Tender
- The scope,
- Conditions of Contract
- Contract amount,
- Commencement and Duration
- Performance security
- payment terms
- Point of contact

Letter of Acceptance [LOA]

- A Letter of Acceptance (LoA) is the contractor's formal response, accepting the terms outlined in the Letter of Award.
- By issuing this letter, the contractor agrees to the project's terms and conditions, forming a legally binding agreement in many cases.
- It confirms the contractor's commitment to proceed with the work under the terms agreed upon

- LOA may not necessarily create a binding agreement unless followed by a formal contract.
- The LOA marks the employer's intent to award the contract, typically issued after tender evaluation.

Power of Attorney (PoA)

A Power of Attorney (PoA) is a legal document that gives one person (called the Attorney-in-Fact or Authorized Representative) the authority to act on behalf of another person or entity.

- for signing a contract,
- tender submission,
- banking and
- financial authority,
- representation in legal matters,
- local representative, etc.

What is Bond and Guarantee

Difference Between Guarantee and Bond

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Default Bond (Guarantee)

Conditional- Contractor must first commit a default under the contract with proof

- Performance guarantee
- Parent company guarantee

On Demand Bonds (bond)

Unconditional – they don't require any proof of default for the employer to make demand for payment.

- **Tender bonds** – if the selected contract refused to enter into the contract this will be used to call for retendering
- **Advance payment bonds** – in order to protect and recover the paid advance payment in any critical situation
- **Retention bond** – if the contract wants all the retention amount or the parties agreed to keep Retention bond

In guarantee, the first obligation is for the contractor to fulfil its obligations. But in a bond, bank has an obligation to pay without waiting contractor's action

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Professional Indemnity Insurance

In order to indemnify the insured party against negligence or error in connection with the professional services rendered to client. In construction this shall be provided for design, and all other consultancy services.

Contractor's All Risk (CAR) Insurance

This is a comprehensive insurance policy that covers physical damage to the works, materials, and construction plant and equipment. It typically includes:

- **Material Damage-** repair or replacement of damaged property during construction.
- **Third-Party Liability-** Protects against claims from third parties for bodily injury or property damage.

Employer's Liability Insurance / Worker's Compensation Insurance

[mostly law requirements]

Covers the employer's legal liability for injury or disease sustained by employees during their employment. It is like worker's compensation [WC] insurance but focuses on the employer's legal liabilities.

Public Liability Insurance

Public liability insurance covers legal liabilities arising from accidental injury or damage to third-party property. It protects against claims made by the public or other third parties.

Plant and Equipment Insurance

This type of insurance covers the contractor's plant and equipment against risks such as theft, damage, and breakdown. It can be extended to include hired-in plant and equipment as well.

Fidelity Insurance, also Known as Fidelity Bond or Employee Dishonesty Insurance.

This is a type of insurance that protects businesses from financial losses caused by fraudulent or dishonest acts committed by employees. This insurance covers a range of activities, including theft, cheating, forgery, and other types of employee dishonesty.

Deductible

Amount of claim not covered - Deductibles are how risk is shared between you, the policyholder, and your insurer. This amount will be deducted from your insurance entitlement.

Subrogation

Right of the insurance company to sue whoever is responsible for causing loss to the insured.

Premium

The amount of money that a business pays to an insurance company in exchange for coverage [monthly, quarterly, annually] The premium amount is determined based on the level of risk and the extent of coverage provided by the insurance policy.

What is an Umbrella Policy?

Umbrella insurance gives you more protection if you have a big claim that goes over the limits of your insurance. So, if you have a claim that costs SAR 2 million, but your insurance only covers SAR 1 million, an umbrella policy can cover the other SAR 1 million. Umbrella policies can save contractors money on large claims.

If Any Claims Related to Insurance

- Inform insurance company
- Take police reports + photos
- Prepare incident report
- Loss adjusters visit
- Submit claim with substantiations (quotations etc.)

Parent Company Guarantee (PCG)

A parent or another group company of the contractor grants a guarantee in favor of the Employer.

The guarantor ensures the contractor's performance under the building contract.

Parent Company Guarantee (PCG)

Advantages	Disadvantage
No financial Cap (it is advisable to agree on the cap for financial liable)	Insolvency of parent company may impact
No time limit (until completion)	
No cost to the developer	

EXAMPLE OF PCG

2.3 If the Facilities Contractor fails to observe or perform any of its duties or obligations to the Beneficiary under the Agreement, or if the Facilities Contractor fails to pay any sum, loss, debt, damage, interest, cost or expense due from the Facilities Contractor to the Beneficiary under or in connection with the Agreement, the Guarantor (as a separate and independent obligation and liability from its obligations and liabilities under paragraph 2.1 above) shall subject to paragraph 6 below, indemnify the Beneficiary against all loss, debt, damage, interest, cost and expense incurred by the Beneficiary by reason of such failure or non-payment and shall, on first written demand, pay to the Beneficiary, without any deduction or set-off, he amount of that loss, debt, damage, interest, cost and expense.

2.4 The Guarantor further guarantees to the Beneficiary that:

(a) on Demand (in accordance with paragraph 4), the Guarantor shall procure the performance by the Facilities Contractor, or by an affiliated entity or an independent third party approved by the Beneficiary pursuant to paragraph 2.1(a) above, of any Guaranteed Obligation that the Facilities Contractor has failed to perform either at all or has failed to perform in accordance with the terms and conditions of the Agreement;

Performance Bond

- An independent financial surety (often a bank or insurance company) provides this bond in favor of the Employer.
- The contractor pays a premium to the surety, which is usually recovered from the developer under the building contract.

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Advantages	Disadvantage
Independent so any insolvency of group of company will not impact if no parent company this is well useful	Charges to the developer or client
	10% contract sum only can be covers.
	Expires at practical completion

Contractor Failed to Provide Performance Bond (But the Client Wants to Continue With That Contractor)

- Explain the client about the risk of this failure and the benefits of performance bond
- Encourage the contractor to submit performance bond
- Encourage the contractor to complete 10% of work and Client can get bond
- Suggestion to the Client to agree with the contractor to have more retention amount
- Request for parent company guarantee

Assignment and Novation

Assignment

- Transfer of either rights or benefits [or part of both] from one party to another.
- Assignor remains liable unless otherwise agreed.

Novation

- Replacement of an original party with a new party, forming a new contract.
- Original party is released from obligations and liabilities.

Ab Initio Novation

- This is a Latin term meaning "from the beginning" or "from the outset”

Switch Novation

- switches from acting for one client – the original client – to acting for another client.

Aspect	Assignment	Novation
Transfer	Rights only	Rights and Obligations
Parties involved	Assignor, Assignee	Original party, New party, Third party
Consent required	Typically, no third-[arty consent	Consent of all parties required
Liability	Assignor remains liable	Original party released from liability
Effect on contract	Original contract remains	New contract replaces original one

Summary of Experience (SOE)

LEVEL 1

Competency	Level	Summary of Experience
Contract Practice	1	From attending the CPDs, I obtained theoretical knowledge about elements of the contract, such as an offer, acceptance, consideration, the intention to create legal relationships, legal capacity, genuine consent, the reality of the deal and legality. Further, I learned about the standard forms of contracts. Furthermore, I developed my knowledge to select the appropriate FIDIC form of contract, considering the client requirements, work value, timeframe, risk allocations, procurement method, and complexities of the project. I also understood the difference between named, domestic & nominated subcontractors, and learned about third-party rights, and the use of collateral warranties. From my project experiences, I understood the responsibilities and obligations of the parties involved, as well as the payment, dispute resolution, and change mechanisms in the contracts. Further, I enhanced my knowledge about the letter of intent, various types of bonds and insurance. Furthermore, I broadened my understanding of the advantages and limitations of parent company guarantees.

End of Day 1 of 3

Thank You

Questions?

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The Selection of Contract Shall Depend on

- Employer's Requirements
  (Time , Cost, and Quality requirements)
- Risk allocation (design and other)
- Complexity
- Role of the parties
- Value of the work

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FIDIC Form or Contract

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- **Green** - Short form of Contract **(Condition, Value <500000 USD and Duration < 6 months)**
- **Red Book** - Construction Contract
- **Yellow Book** - Design and Build Agreement
- **Silver Book** - EPC- Engineering, Procurement and Construction (Turnkey)
- **Gold Book** - Design, Build and Operate

FIDIC Other Publications

- **Subcontract agreement**
- **Model service agreement**
- **Representative agreement**

Why Standard Form of Contract

Advantages	Disadvantage
Proper risk allocation between parties	Sometimes legal advice is required.
Avoid cost and time to negotiate every clauses.	
Tender comparison made easy	
Parties can assume risk allocation earlier and well known to them	
Ready to use and tested in the court	
Familiarized by all the parties.	

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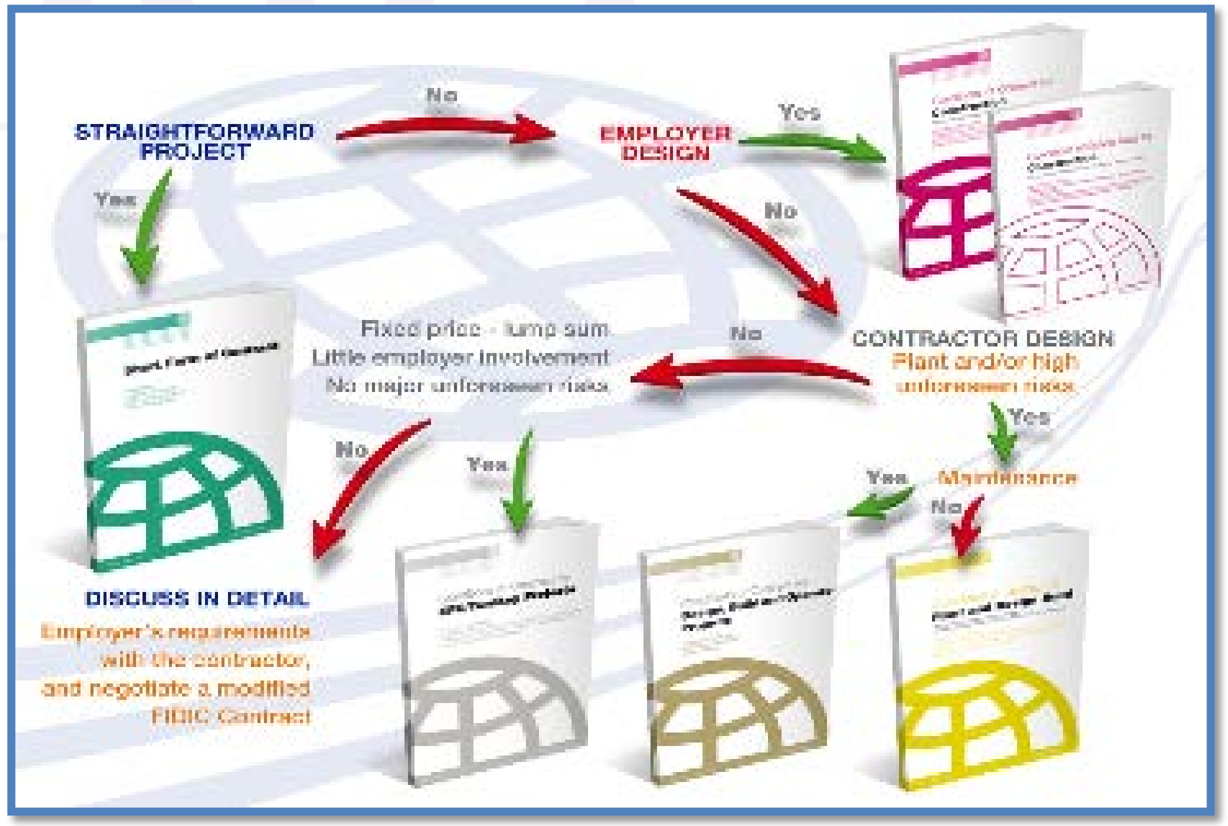
How to Choose FIDIC



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Comparison Between FIDIC 1987 and 1999

FIDIC 1999	FIDIC 1987
Engineer is employer's agent	Engineer is impartial
Disputes shall be referred to the DAB	Disputes shall be referred to the Engineer
Provision for advance payment	No provision for advance payment
Provision for Value Engineering	No Provision
Time for payment is counted from the contractor's interim valuation submission date	Time for payment is starting from the date of delivery of the payment certificate by the Engineer.
The Contractor has right to inquire employers' financial arrangement	No Provision
No Provision	Provision to adjust overheads recovery
The Employer can terminate the Contract for his convenience	No Provision

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Comparison Between FIDIC 1987 and 1999

1987

Priority of Contract Documents 5.2 The several documents forming the Contract are to be taken as mutually explanatory of one another, but in case of ambiguities or discrepancies the same shall be explained and adjusted by the Engineer who shall thereupon issue to the Contractor instructions thereon and in such event, unless otherwise provided in the Contract, the priority of the documents forming the Contract shall be as follows:

(1) The Contract Agreement (if completed);

(2) The Letter of Acceptance;

(3) The Tender;

(4) Part II of these Conditions;

(5) Part I of these Conditions; and

(6) Any other document forming part of the Contract.

1999

1.5

Priority of Documents

The documents forming the Contract are to be taken as mutually explanatory of one another. For the purposes of interpretation, the priority of the documents shall be in accordance with the following sequence:

(a) the Contract Agreement (if any),
(b) the Letter of Acceptance,
(c) the Letter of Tender,
(d) the Particular Conditions,
(e) these General Conditions,
(f) the Specification,
(g) the Drawings, and
(h) the Schedules and any other documents forming part of the Contract.

- ## What is particular conditions

Particular Conditions (sometimes called Special Conditions) are project-specific modifications or additions made to the General Conditions of Contract (GCC) to suit the unique requirements of a specific project, employer, location, legal environment, or procurement method.

- ## What is Appendix to Tender

It contains essential contract-specific data that supplements the General Conditions and helps clarify the commercial and technical terms of the contract.

  - Ex: Minimum Amount of Interim Payment Certificate.
  - Daily rate for liquidated damages due to delay

When we convert the FIDIC red book from Re-measurement to Lump Sum

Clause / Document	Title	Action Required for Lump Sum Contract
Clause 1.1	Definitions	Revised definitions of “Contract Price”, ”Schedule of Payment”, and remove references to re-measurement
Clause 12	Measurement and Evaluation	Delete or significantly amend this clause. State that no measurement will be done; Payments are lump-sum based
Clause 13.1	Right to Vary	Ensure that variations are valued separately and do not affect the Lump sum nature of the contract
Clause 14.1	The contract Price	State explicitly that the contract is based on a fixed Lump sum amount
Clause 14.3	Application for interim payment certificates	Ament to remove reference to quantities. Payment should be based on milestone completion or activity schedule
Clause 14.6	Issue of interim payment certificates	Align this with revised payment terms; Use progress or milestone completion for valuation
Bill of Quantities(BOQ)	Pricing documents	Delete or mark as “FOR Reference Only”. Do no use for valuation. Replace with a schedule of payment or Activity schedule
Appendix to tender / Contract date	Contract summary data	Insert Lump sum contract price. Include the payment breakdown or milestone schedule. Remove references to BOQ as a contract documents
Particular conditions (Part B)	Project-Specified Amendments	Add Custom clauses to: 1. Override or delete clause 12 2. Confirm that the contract is lump sum 3. State the basis of payment clearly

Also,

1. Shift risk to the contractor for quantity changes
2. Develop a milestone-based payment schedule instead of a quantity-based payment
3. Ensure proper design responsibility

Advanced Payment

Advance payment

[mostly 5% -20% and in GCC mostly 10%] – Fidic clause 14.2 [Advance payment guarantee]

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Advantages of AP

- Interest free loan to the Contractor
- Improve cashflow of the contractor.
- Timely start of the project
- Negotiation benefits
- As no interest from the bank for the contractor less project cost

Disadvantages of AP

- Risk of non-performance
- Guarantee or bond cost
- Employer early bulk payment will impact his cashflow
- Contractor's insolvency may make concerns or limited coverage.

Before Issuing AP, You Should Make Sure That

- Signing a promissory note (LOA) or a contract.
- The application/request for AP from the Contractor.
- AP Bond, and other insurances including performance bond.
- The Contractor is adequately deployed at the Work Site.

Liquidated Damages [LD] / Liquidated Ascertained damages [LAD].

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- Genuine predetermined actual amount that a party agrees to pay if they breach the terms.
- Particularly regarding delays in performance or completion.
- These damages are stipulated within the contract.
- The amount will be fixed amount or fixed formula to calculate it.
- “Ascertained" –refers to the actual determination and verification
- It is advisable to settle the claims first and apply LD/LAD, however LD/LAD can be applied independently at any time.

Benefits

- Reduce litigation – by clearly agreeing the mechanism
- Risk avoidance.

Disadvantages

- Difficulty in estimating accurately.
- Enforceability issues or Court may scrutinize LD amount
- Limitation on actual loss recovery

Quantifying Delay Damage

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- The exact number of days or weeks of delay needs to be measured. This involves comparing the actual completion date with the contractual completion date.
- Proper documentation, such as progress reports, completion certificates, or project timelines, is required to substantiate the occurrence of the breach.

LD for Sectional Completion

- Check the total delay because of sectional completion delay and calculate it with consultation. Then make a recommendation.

	Contract Details		Approved Values
1	Original Contract Price		48,946,717.00
2	Agreed Variation Instruction		459,223.00
3	Reimbursable Expenses		
Total	Forty Nine Million Four Hundred Five Thousand and Nine Hundred and Forty	**SAR**	**49,405,940.00**
4	Total Spent to Date	13.56%	6,697,390.80
5	Remaining Budget	86.44%	43,473,288.28

This Certificate

	Description		Gross Certified To Date	Less Previously Certified	This Certificate
6	Value of Works in Progress		6,284,090.10	3,167,443.04	3,116,647.06
7	Value of Works against Contract Administrator's Instruction		413,300.70	413,300.70	0.00
8	Value of Work Executed Against Provisional Sums		0.00	0.00	0.00
9	Advance Payment	10%	0.00	0.00	0.00
10	Recovery of Advance Payment	12%	0.00	0.00	0.00
11	Sub Total -A		6,697,390.80	3,580,743.74	3,116,647.06
12	Deduction of Retention -B	10%	-669,739.08	-358,074.37	-311,664.71
13	Release of Retention -C	0%	0.00	0.00	0.00
14	Less Due to Liquidated Damages		-95,000.00	0.00	-95,000.00
		Total	**5,932,651.72**	**3,222,669.37**	**2,709,982.35**

Major Clauses Need to be Considered for Any Contract.

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No	Clauses	Corresponding FIDIC Clauses
1	**Scope of works and obligations**	Clause 1, 2, 3, and 4
2	**Time and Schedule**	Clause 8 (Program)
3	**Price and Payment / Variation**	Clause 14 [Contract price and payment], Clause 13 [Variation and adjustment], Clause 12 [Measurement and evaluation
4	**Securities /Warranties and Guarantees or indemnity**	Clause 18 [Insurance] , Clause 14.2, Clause 4
5	**HSE and QAQC**	Clause 4
6	**Performance and progress**	Clause 8, Clause 17
7	**Assignment or novation of rights**	Clause 1
8	**Confidentially**	Clause 1 [Confidential Details]
9	**Dispute resolution mechanism**	Clause 3 [the Engineer] Clause 20 [Claim, disputes, and arbitration]
10	**Force Majeure**	Clause 19
11	**Governing law and language**	Clause 1
12	**Professional Indemnity Insurance**	In order to indemnify the insured party against negligence or error in connection with the professional services rendered to client . In construction this shall be provided for design, and all other consultancy services.

Key Differences Between Tender Documents and Contract Documents

Majority of the tender document will be transferred as contract documents by include them as a listed elements of contract documents, mainly these documents are tender addenda, Post tender clarification.

Also some additional documents will be newly introduced formed.

- Contract Agreement
- Letter of Acceptance [LOA]

Entire Agreement

The Contract incorporates the entire agreement between the parties and replaces all former conversations, representations, undertakings, and agreements. No other documents can be considered as a related to the contract.

83. **GENERAL PROVISIONS**

83.1 **Entire Agreement**

(a) [redacted] on behalf of itself and as agent for each of its Affiliates acknowledges and agrees that the Contract and any agreements and other documents to be entered into pursuant to the terms of any of the Contract contain the entire agreement between the parties in relation to the subject matter thereof and supersede all prior agreements and arrangements other than such confidentiality agreements as the O&M Contractor may have entered into in connection with tendering for the Contract.

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Pre-Contract CA Role

- Take part in appointing consultants.
- Determining the contract management approach
- Take part in valuation.
- Contract process and establishment.
- Establish time cost quality priority.
- Prepare consultant agreement.
- Review Professional Indemnity or other securities.

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Post Contract CA Roles.

- Starts at early appointment by the client to develop a project brief.
- Managing a contract according to the contract's terms and conditions.
- Major object - deliver the project within T/C/Q with good relationship.
- Monitor contractor's performance.
- Change management.
- Dispute management.
- Payment and other entailment management
- Contract finalization or close-out.

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To : [redacted]
Att. : [redacted]
Pro. : [redacted]
Sub. : [redacted]

Dear Mr. [redacted]

With reference to [redacted] dated **15th January 2022,** [redacted] hereby notifies the Contract Administrator that:

1. We should note that since the date of the NTP, [redacted] has never failed to perform its scope of work despite the non-existent cash flow. The CA shall be reminded that up to the date, **96 days** had lapsed with **ZERO** funding released to the Contractor's account. These 96 days compromise **35%** of the contractual project duration.
2. Pursuant to Clause 60.11 and 60.24 and as per the 53-days payment period, [redacted] shall be paid on or before **30th January 2022.**
3. Accordingly, [redacted] saves the entitlement, and considers this letter as a formal notice in accordance with the provisions of sub-clauses 69.6 & 69.7 of the COC.

Interim Payment Valuation and Payment to the Contractor.

- IPA will be submitted monthly by the Contractor.
- Contract terms should speak when and how. [FIDIC 1999 – Clause 14] - Contractor to be paid within 56 days from IPA.
- Performance security or other securities should be valid
- Payment for the completed work.
- Retention, advance payment recovery and other deductions will be recovered.
- Other deductions include [electricity, water, Engineer's OT, other payment]
- Minimum amount of IPA/IPC for the month.
- Material onsite/ Off site as per the contract.
- If the payment delayed- the Contractor will claim interest.

When the Client Delays an Interim Payment.

- Send notice under FIDIC 1999- Clause 14.8 [Delayed Payment]
- Continuous delay in payment – notice of entitlement of any financial charges - [Clause 14.8].
- Still delay – notice about slow rate of progress under relevant clause. Clause 16.1[Contractor's Entitlement to suspend work]
- Further delay – Notify of your suspension of your work. Clause 16.1
- Finally- termination based on the contract. FIDIC 1999 – Clause 16.2 [Termination by Contractor]
- On Account Payment
    - It's an payment made by client towards a future invoice. These payments are typically tracked and then deducted from the total when the invoice is submitted.

Q

In order to Protect the Client in the Event the Contractor goes Bankrupt Prior to Release Material off-site the CA should Check

- Listed in the appendix to the contract or agreed between the parties.
- Vesting Certificate – is a legal document issued by a local authority or government agency that confirms the transfer of ownership or legal title of a property.
- Invoices and delivery orders (verify quantity physically)
- MIR/IR/etc
- Quantity not higher than the required Qty.
- % of invoice value as per the appendix.
- Financial status of the contractor.
- Item should be set aside
- Ready for incorporation.
- Insurance Proof / Guarantee
- An on-demand bond - might be required up to the value of the off-site items, with the value of the bond reducing as deliveries to site are made.
- Direct Contract - The client might enter into a contract direct with the supplier.

Material On site

- Contractor buys the materials and send that to the site.
- Ownership will be transferred at the time of delivery, irrespective of payment.
    - To release the money
        - Contract clause should allow this [or appendix].
        - Application for payment from Contractor
        - Supporting documents – MIR/IR/invoices/inventory record/delivery note
        - Storage and protection
        - Insurance coverage [existing or new]

Material Off-site

"Material off-site" in a construction contract refers to construction materials that have been procured by the contractor but have not yet been delivered to the project site. These materials are typically stored at a location away from the project.

For example,

- Where a contractor made a large payment
- If the client wishes to 'reserve' key items in order to protect the programme.
- Or the items is long lead items.

Such items should be agreed in advance and listed in an annex to the contract bill

Retention Money

- A % of the payment withheld by the client until the project is satisfactorily completed.
- Ensures contractor completes work as per contract and covers defects or incomplete work.

Benefits

- Motivate the contractor
- Financial protection
- Leverage the project timely completion

Disadvantage

- Contractor's cash issue
- Dispute over delay in retention money release

Q

Retention Bond

[in GCC normally 10% of the contract amount]

- If the parties agreed to release the money earlier [normally 50% at TOC and 50% after DLP completion].
- A surety bond provided by a bank or insurance co.

Benefits

- Improve cash flow
- reduce financial strain
- Trust between the parties

Disadvantage

- Premium to the Contractor
- Small contractor may face issues
- Management of bond.

Retention Fund or Retention Monies

- Portion of contract sum withheld by employer.
- Security against defective work or non-compliance.
  - % of retention will be specified in the contract [GCC10%]
  - 50% of 10% shall be released upon TOC and other 50% upon completion of DLP.
  - Contractor may be entitled to interest.
  - Retention should not include loss & expense claim, statuary fee, testing works & fluctuation.

Administration of Insurances

- First and most importantly notify the insurance company
- Take actions as per their instruction
- Take any other report required [police, others]

Defects

Patent Defect

- A defect that is discoverable by reasonable inspection.
- The contractor is responsible for rectifying patent defects.
- All patent defects should be recorded under a snagging list or punch list.
- Rectify and completed within the Defects Liability Period (DLP) or an agreed period.

Latent Defect

- Not discoverable by reasonable inspection at the time of completion
- The responsibility depends on the terms of the contract.
  - Structural issues, hidden water damage, or other problems that were not visible or detectable during initial inspections.
  - Will be rectified based on the warranty or guarantee

Claims

- **Formal requests by one party (usually the contractor) for additional compensation or an extension of time.** This is due to unforeseen circumstances, changes in the scope of work, or other contractually defined events. [ex - variation claim, delay claim, acceleration claim and disruption claim]
  - **Claimant - who makes a claim**
  - **Respondent – Counter party**

Q

Types of Claims in Construction Industry

- **Contractual claim- breach of express term –** (EOT, Cost and Time)
- **Claims by law (extra contractual claim) –** Claims by legal consequences – change of Law
- **Quantum meruit claim - means fair remuneration.**
- **Ex-gratia claim –** when no contractual provision allows for such entitlement the employer pays because of sympathy.

Summary of Experience (SOE)

LEVEL 2

2	While working with the contracting division of GSSG Holdings in Qatar, I compiled the MEP subcontract documents for the office building project to issue to a subcontractor. In that, I included the subcontract agreement, conditions of contract, specifications, drawings, preambles, bill of quantities, specimens for bonds and insurances, and tender clarifications. While I was working with the MEP subcontractor in Dubai for the building project, my employer started working on the project based on the letter of intent (LOI). Hence, I follow up with my commercial department to sign the contract in order to have a legally binding Contract. Further, I coordinated to submit performance and advance bonds in order to receive the advance payment from the main contractor.

End of Day 2 of 3

Thank You

Questions?

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For any Claim, the Parties /CA should Ensure the Below Elements

- Contractual compliance
- Claim documents / Contemporary records [MOM, idle time, abortive works, photos, site diaries, etc.]
- Impact assessment
- Mitigation efforts

Loss and Expense Claim

- Due to delays, disruptions, or changes in the project scope that are not the claimant's fault
- The party will claim
    - Loss- Loss of opportunity to make profit else ware
    - Expense – Additional cost to maintain the facilities, direct cost, indirect cost,

Calculation

- Actual cost Method – calculate the actual cost
- Formulaic methods – Hudson formula, Emden formula, Eichleay will allow to find the OHP

Heading in L & E Claim or Any Other Claims

[EOT, Quantum or Others]

- **Introduction**
- **Facts /event/cause–** provides contemporary records or witness statement required
- **Legal basis / effect –** contractual and legal provision application for this claim
- **Liability/ entitlement –**who is liable for the time and cost incurred.
- **Quantum / substantiation –** quantification [labour cost, material cost, overhead, office staff, insurance cost, design change cost, loss of profit, communication cost, subcontractor's claim, any other]

Q

Table of Contents

List of Appendices

Delay

- A delay in construction occurs when the progress of the project is hindered or slowed down, resulting in the project taking longer to complete than initially planned or expected.

The Delay can be

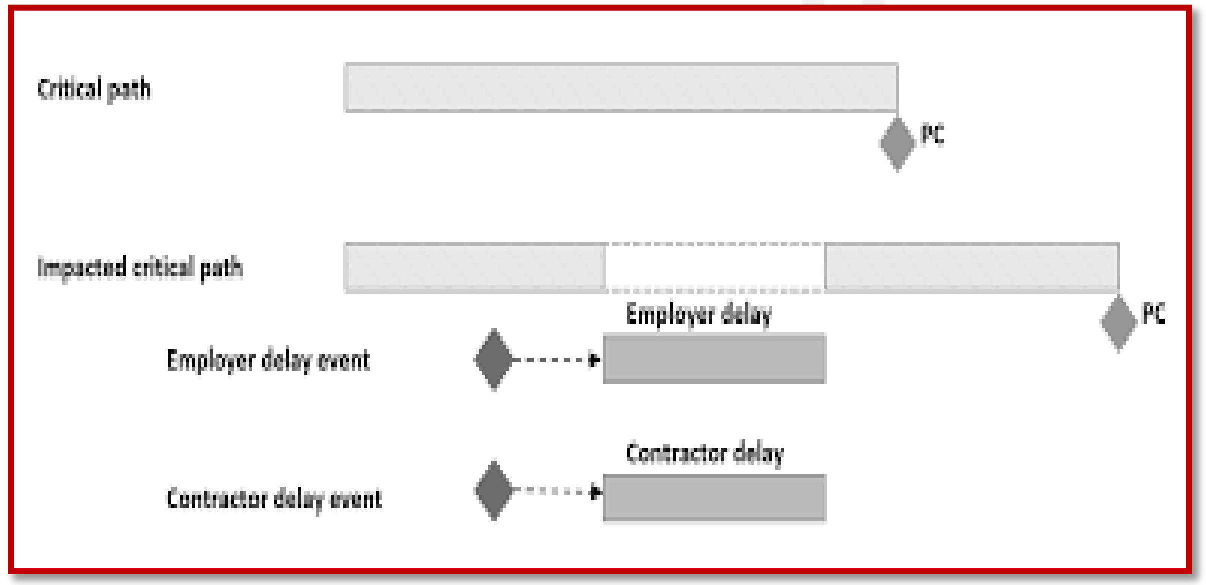
- Excusable / non excusable
- Compensable/non compensable
- Critical/ Non critical
- Concurrent /non concurrent

Delay Analysing Method

- As Planned vs. As-Built Analysis - Compares the original project schedule (as-planned) with the actual progress (as-built).
- Impacted As-Planned Analysis- Modifies the as-planned schedule by introducing delays to assess their impact.
- Collapsed As-Built (But-For) Analysis- Removes delays from the as-built schedule to determine the hypothetical completion date
- Window Analysis (Time Impact Analysis) - Divides the project timeline into windows and analyzes delays within each window.
- Contemporaneous Period Analysis - Focuses on the impact of delays as they occur in real-time
- Snapshot (Time Slice) Analysis - Evaluates the project at specific points in time (snapshots)
- Forensic Schedule Analysis - Comprehensive, detailed retrospective analysis of delays

Types of Delay by the Parties

- Contractor's delay [Solitary Delay]
- Employer's delay [Solitary delay]
- Neutral delay
- Concurrent delay - Delays that occur simultaneously with other/ other's delays
  - **True concurrency** - True concurrency occurs when two or more delays happen simultaneously, and both delays independently affect the project's critical path
  - **Sequential concurrency** - Sequential concurrency occurs when two or more delays affect the project timeline, but these delays do not occur exactly at the same time. Instead, one delay follows another, yet both contribute to the overall delay of the project's critical path



Disruption

Any event, circumstance, or factor that interrupts or hinders the normal progress of work on a construction project, leading to inefficiencies, decreased productivity, and increased costs. Disruption is often measured in terms of decreased productivity or loss of efficiency.

- This may or may not have
- Delay to the completion
- Reduced productivity
- Idle resources
- Demobilization may occur
- Unproductive overtime

Extension of Time

An adjustment of the contract completion date in defined circumstances.

Q

Why We Need EOT Clause.

- Less risk so the tender price shall be reduced
- Client can instruct additional work and execute work under same contract
- Client shall loss the chances to apply Liquidated damage
- Can avoid time at large

8.4

Extension of Time for Completion

The Contractor shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to an extension of the Time for Completion if and to the extent that completion for the purposes of Sub-Clause 10.1 [*Taking Over of the Works and Sections*] is or will be delayed by any of the following causes:

(a) a Variation (unless an adjustment to the Time for Completion has been agreed under Sub-Clause 13.3 [*Variation Procedure*]) or other substantial change in the quantity of an item of work included in the Contract,

(b) a cause of delay giving an entitlement to extension of time under a Sub-Clause of these Conditions,

(c) exceptionally adverse climatic conditions,

(d) Unforeseeable shortages in the availability of personnel or Goods caused by epidemic or governmental actions, or

(e) any delay, impediment or prevention caused by or attributable to the Employer, the Employer's Personnel, or the Employer's other contractors on the Site.

Time at Large

- 'Time at large' means there is no date fixed for completing the building works or time period set out for completing the works, or such times and dates as agreed no longer apply. [unforeseen event, mutual agreement, failure to incorporate clause in the contract]
- Contractor is not liable for delays, and employer cannot claim damages for late completion.
- Check your contract for EOT and procedures that to be followed by the parties

Prolongation Cost

Costs incurred due to the extended duration of the project and not the contractor's default.

This will include

- Extended preliminaries
- Labour and equipment cost
- Overhead /Head office

Extension of Time Claim should Provide the Below Contemporary Records.

- Signed RFI,
- Timesheets,
- Logbooks,
- Labour histogram,
- Productivity
- Pictures,
- Monthly progress records, etc.
- Interim Claim
- Final claim with detailed particulars
- Time impact from planners
- Cost related analysis – prolongation cost

T&T have not had any visibility or information in relation to design approvals and sign offs or the revised design period and approval and if these had a delay to the project completion date. There also do not appear to any details pertaining to Contractors interim claims or granted extensions of time.

Based on the documentation that has been provided the Contract appears to be at large with no enforceable date for completion. This would infer that the Contractor has an obligation to complete the works within a reasonable time and subsequent damages may not be enforceable.

Q

In Suspension Claim should Include

- Subcontractor’s claim,
- Additional plant cost,
- Demobilization cost,
- Manpower,
- Actual cost
- Any abortive work
- Lost
- Protection to the completed work , etc

Critical Path

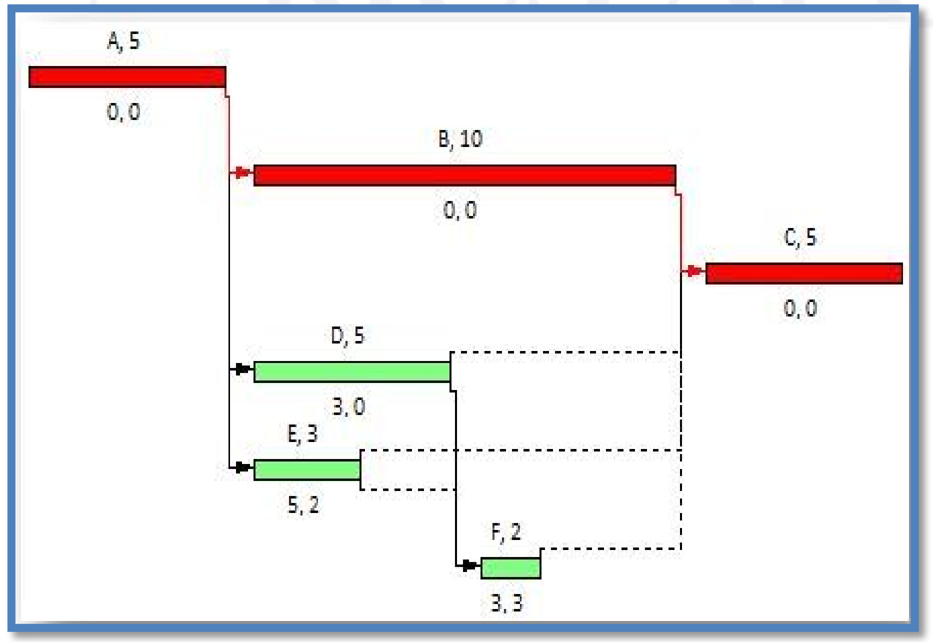
The sequence of tasks that determines the minimum project duration. It is the longest path through the project schedule with zero slack.

Free Ploat - The amount of time that an individual task can be delayed without affecting the start date of any subsequent tasks.

Project Ploat [total float] -

The total time the project can be delayed without affecting the overall completion date

Example of Critical path



Q

Time Bar Clause

A "time bar clause" in construction contracts is a contractual provision that sets a strict deadline within which a party must submit anything. [a claim for an extension of time (EOT), additional payment, or other contractual relief]

Benefits of time bar clause

- To alert the employer early on the cost and time impact of the event
- To know the final contract, amount likely to be incur
- Not to bring unknown issues at the end of the project period
- Secure the Contractor’s entitlement

In common, the purpose of this is to give certainty through delivery rate than a surprise at final Account

Examples

Claim, Disputes and Arbitration

20.1
Contractor's Claims

If the Contractor considers himself to be entitled to any extension of the Time for Completion and/or any additional payment, under any Clause of these Conditions or otherwise in connection with the Contract, the Contractor shall give notice to the Engineer, describing the event or circumstance giving rise to the claim. The notice shall be given as soon as practicable, and not later than 28 days after the Contractor became aware, or should have become aware, of the event or circumstance.

Accordingly, the Engineer advises that the Contractor had failed to provide notice pursuant to sub-clause 20.1 within 28 days of when the Contractor should have become aware of the event. The Employer is hereby discharged from any liability towards this claim.

If you require any further information please don't hesitate to contact us.

Yours faithfully,

Finally, the Engineer highlights that the Contractor states the access date was to be provided on the 16th August 2016, notwithstanding the purported event, the 17th August 2016 is the date when the Contractor should have become aware of the event and the circumstance giving rise to a claim since it is shown on the Contractor's programme.

Acceleration

Generally, refers to increasing the originally planned or current rate of progress of the work to complete the project earlier than the original date.

Acceleration Agreement

In your contract if no provision for acceleration you can have a separate agreement for this.

How can an Acceleration Achieve

- Increased resources
- Alter the programme
- Extend working hours
- Chang in working method
- Specification change

Types of Acceleration

Instructed/Directed Acceleration

If the employer wants the task finished sooner, a separate arrangement must be arranged, which would usually include extra money.

The contractor is entitled to compensation for the additional costs

Constructive / Voluntary Acceleration

The Contractor is considering implementing acceleration measures to avoid the risk of liquidated damages as a result of not receiving an EOT that it considers is due.

Or regardless of EOT entitlement the client pushes the Contractor to complete the work within the completion date.

The contractor may be entitled to compensation.

Types of Subcontracts

Domestic Contractor – Appointed by main contractor as per his own requirements subject to approval

Named – Appointed by MC from the list provided by the Employer

Nominated – Appointed by the Emp but contract with MC

When you ask nominated contractor to price a work provide him [Mainly any main Contractor's documents if you have, you have to provide to them]

- Scope of works
- Conditions of Contract
- Drawings of the existing contract
- HSE/ QAQC requirements
- Baseline programme / MC's current programme for PS items
- Site conditions, etc

Benefits:

- It allows the client to influence the contractor's decision without taking responsibility for the performance or cost of the chosen subcontractor.

Disadvantages:

- It makes them responsible for the performance and cost of the chosen subcontractor.

Q

When Nominate a Contract to Main Contractor for any of the Provisional Sum Provide with the below

- Nomination letter
- Nomination subcontract's final offers
- All the tender documents issued to the nomination subcontractor
- Post tender clarification
- Negotiation records
- Discounts
- Drawings
- Specifications
- Any other documents

Q

Advance Payment to the Nomination Contractor

- Make sure that main contractor (MC)did not claim the portion of PS within his advance payment of X%
- If MC claimed that amount too within its advance payment , instruct the MC to pay accordingly and MC should pay it
- If MC did not claim this amount, then the relevant amount should be paid to the MC and MC shall pay the relevant to the NS. For the purpose of this the MC and Client should have supplementary agreement

Q

Completion of A project

- **Sectional Completion/ partial completion [FIDIC 10.1]**
  - The completion of any Section for which a separate time for completion is specified in the Contract. The Client can take beneficial of using project for its intended purpose. Contractor still liable to complete the project in its entirety but entitled to receive TOC.
- **Partial possession [FIDIC 10.2]**
  - Occupation or use of any considerable portion of the Permanent Works by the Employer before or after completion to the satisfaction of the Engineer. In either scenario, the Contractor may request, TOC and Engineer should provide.
- **Practical completion / Substantial completion [FIDIC 10.1]**
  - In an ordinary lump sum contract, when the works are substantially completed so as to be fit for the purpose (normally at this stage the parties shall agree on the snag list or punch list)

At the Stage of Practical Completion

- Liability for LD ends.
- The DLP begins.
- Insurance will be released except any requirements/liabilities [confidentially, statutory obligations/warranties/PII].
- Right to deduct retention ends.
- Half the retention to be paid to the Contractor
- Regular interim certificates will be ceased.

Documentation that should be Issued to the Client on Certification of Practical Completion might Include:

- A draft building owner's manual.
- A building user's guide.
- The health and safety file.
- The building logbook.
- A construction stage report.
- Warranties and guarantees
- Valid insurances
- Any other documents as per the contract

Preliminaries

Preliminaries are items and costs needed to complete this specific project that are not linked with or associated to a specific aspect/element of the work.

Overhead

While overhead represents ongoing operational expenses that are not directly tied to a specific project but are necessary for the overall operation of the construction company.

Determination and Termination

Determination

A process of assessing and deciding upon certain aspects of the contract, such as disputes, claims, or changes, ending the contract.

Termination

A valid and enforceable contract comes to an end prematurely before it has been discharged by performance.

- breach of contract,
- mutual agreement
- other specified causes within the contract
  - Termination types [FIDIC 1999 Clause 15 [Termination by Employer] and Clause 16 [Termination by the Contractor]]
    - Termination by the employer
    - Termination by the contractor
    - Termination by either party

Termination Reasons

Termination Aspect	Clause	Description
Termination by the Employer		
Notice to Correct	Clause 15.1	Employer issued a notice to correct a breach within a specified time
Termination by Employer	Clause 15.2	Employer can terminate of the contractor fails to correct a breach. Abandons the work Subcontracts the whole work Becomes bankrupt Bribes or offer gifts
Valuation at Termination	Clause 15.3	Engineer assesses the value of work done and materials on site at termination
Payment after Termination	Clause 15.4	Employer claims costs for termination and completion of works from the contractor
Termination by the contractor		
Suspend Work	Clause 16.1	Contractor can suspend work if the employer fails to meet obligations (e.g.payment) after 21 days' notice
Termination by Contractor	Clause 16.2	Contractor can terminate work if the employer: Fails to show financial proof Suspends work > 84 days Fails to pay Becomes bankrupt Bribes or offers gifts
Cessation and Removal	Clause 16.3	Contractor stops work and removes equipment after termination
Payment of Termination	Clause 16.4	Employer pays contractor for work done and costs incurred due to termination

For Good Contract Administration, the Administration should Keep Logs and Registers for Things Including but not Limited to

- Notices,
- Letters,
- Variation orders,
- Changes,
- Payment, etc.
- Insurance
- Advise on cost proposal.

CA should not Perform the below Without Concern/ Approval.

[To be a Good Contract Administrator You should not do]

- Instruct the contractor to commence the work without contract.
- Change the scope of work (SOW) without client's instruction.
- Provide EOT without execution of amendment.
- Instruct any works which are different in nature.

How do Nominated Sub-contractors Work Financially with Regards to the Main Contractor?

The final cost of the chosen subcontractor's work is added to the total contract amount, typically with an additional amount for the main contractor's overhead and profit. Normally nomintated price will be considered as prime cost.

Q

Defect Liability/ Rectification Period

The Defect Liability Period is a contractual timeframe, during which the contractor is obligated to rectify defects, faults, or issues in the completed construction work.

Purposes of DLP

- Quality assurance
- Client satisfaction
- Continued performance evaluation
- Risk allocation

Fluctuation

Fluctuations clauses are contractual provisions that allow for adjustments to the contract price. Usually, will be determined using predetermined formula or %.

Types of Fluctuations

- **Price Fluctuations-** Adjustments to the contract price based on changes in the prices of specified materials or goods.
- **Labor Fluctuations-** Adjustments to the contract price based on changes in labor costs, such as wages or salaries.
- **Exchange Rate Fluctuations -** Adjustments to the contract price based on changes in currency exchange rates, applicable in contracts involving international transactions.
- **Inflation Fluctuations-** Adjustments to the contract price based on changes in the general level of prices in the economy, typically using an inflation index

Q

Other Terms or Glossary

Term	Definition
Severability	The ability of a contract to remain valid and enforceable even if certain provisions are found to be invalid or unenforceable.
Waiver	The intentional relinquishment or surrender of a right or claim under a contract, usually done through express or implied agreement.
Force majeure	Unforeseeable circumstances beyond the control of the parties, such as natural disasters
Indemnity	A contractual provision requiring one party to compensate the other / Protecting someone from legal responsibility or the need to pay compensation, usually the client from the contractor.
Discrepancy	A difference or inconsistency between two or more documents or pieces of information in a contract.
Ambiguity	Uncertainty or lack of clarity in the language or terms of a contract, which may lead to differing interpretations
Cross liability	A provision in a contract or insurance policy where each party agrees to be individually liable for their own actions or obligations
Contra Preferentum Rule	A legal principle that stipulates that any ambiguity or uncertainty in a contract should be interpreted against the party who drafted the contract
Condition precedent	A condition that must be fulfilled or an event that must occur before a party is obligated to perform under a contract
Nexus	The connection or relationship between two or more factors or events.

Q

Other Terms or Glossary

Term	Definition
Causal link	The relationship between cause and effect
Good Faith	The obligation of parties to a contract to act honestly, fairly, and in a manner that is not intended to deceive or disadvantage the other party.
Estoppel	A legal principle that prevents a person from asserting a claim or right that is contrary to their previous actions, representations, or commitments
Quantum Meruit	A legal principle that allows a party to recover the reasonable value of goods or services provided under a contract when there is no express agreement on payment terms.
Subrogation	The transfer of rights or claims from one party to another, often seen in insurance contracts where the insurer assumes the rights of the insured after settling a claim.
Waiver of Subrogation	A Waiver of Subrogation is a legal agreement where one party agrees not to pursue recovery from another party for a loss or damage that is covered by insurance.
Laches	A legal doctrine that prevents a party from asserting a claim if they unreasonably delay in bringing the claim and the delay prejudices the other party.
Types of programme	[Baseline, milestone, revised, target , procurement, recovery, look-ahead]
Breach of contract	Failure by one party to fulfill their obligations under a contract, which may entitle the other party to remedies such as damages, specific performance, or termination of the contract.
Rescission	The cancellation or termination of a contract, typically due to a fundamental mistake, fraud, duress, or other grounds that invalidate the agreement.
Without Prejudice	A statement or document that can't be used as evidence in court, only as a privilege, e.g., an agreed discount.

Q

Other Terms or Glossary

Term	Definition
Fit for the Purpose	Providing a service that meets the employer's needs, which is more demanding than just using reasonable skill and care.
Insurance	Protection for the client against financial loss in various situations.
Loss Insurance	Coverage for one's own financial loss.
Liability Insurance	Coverage for legal responsibilities to others.
Due Diligence	The care and effort a person is expected to take in a particular situation.
Negligence	Failing to take reasonable care.
Letter of Credit	A guarantee that a buyer will pay for goods in advance. If there's a problem with the goods, the only option is to go to court.
Delay	Being delay in finishing a project later than agreed.
Disruption	Loss of productivity due to interruptions.
Global Claims	A combined claim for time extensions and disruptions due to multiple delay events.
Contra-Charge	Charging back or offsetting costs, e.g., for materials supplied from the contract to a subcontractor.
Un-liquidated Damages	Compensation that needs to be decided by a court or arbitrator. If not specified in a contract, it's considered un-liquidated.
Decennial Liability	Engineer [Designer] and contractor's responsibility for major defects in a building for ten years.
Title Retention Clause	Goods or services remain the seller's property until a certain condition, usually payment, is met.
Time is of the Essence	Deadlines must be strictly followed, with serious consequences for missing them.

Q

Other Terms or Glossary

Term	Definition
Material Breach	A significant failure by one party that allows the other party to demand performance or seek damages.
Quasi-Contract Situation	When a contractor starts work without a finalized contract, there's an obligation to pay a reasonable amount if negotiations fail.
Prevention Principle	A party can't benefit from its own contract breach to the other party's detriment.
Good Faith Principle	A contract should be performed honestly and fairly. If the promisor causes failure, they can't benefit from it.
Step-In Clause	Allows a warranty beneficiary to take over as the employer if the original employer can't continue.
Impartiality	No one should judge their own case.
Right to a Fair Hearing	Each side should have the chance to present their case.
Frustration	When a contract can't be completed due to unforeseen events, like new laws or natural disasters.
Repudiation	Ending a contract because one party's bad behavior gives the other party the right to do so.

Summary of Experience (SOE)

LEVEL 3

3	When I was working with the contracting division of GSSG Holding in Qatar, during the tender negotiations with the main contractor for finalising an MEP subcontract, I advised my employer to propose the parent company guarantee instead of the performance bond, which can provide cost savings. During the tender negotiation meetings for the city's main stormwater package in Makkah, the ductile iron and concrete stormwater pipes were allowed to be claimed under the onsite material upon delivery. However, the contractor proposed to include these materials in the offsite material list as the materials are stored in an offsite store location until the site is ready for laying. Hence, after analysing the circumstances and finding that the contractor was worried about their cash flow, I advised the client representative to amend the offsite material list in the contract, including the stormwater pipes.

End of Day 3 of 3

Thank You

Questions?